by converting issued banknotes into dematerialized banknotes progressively. People can get dematerialized rupees from banks by exchanging paper notes or by withdrawing from their deposits dematerialized rupee banknotes on their digital wallets.

All the Rs 30 lakh crore-odd of rupee currency—in notes of Rs 2000, Rs 500, Rs 200, Rs 100 and so on—can be replaced by dematerialized notes. This will place rupee notes in a digital wallet in place of a physical wallet. Everything else moves as normal. As every transaction involves moving from one wallet to another wallet, all transactions undertaken leave an audit trail.

It is far more easier, convenient and efficient to switch over to the dematerialized rupee as digital rupee in place of the crypto-rupee.

The dematerialized rupee would be able to replace the existing physical rupee system without any major technological switchover or modifications in the current institutional system.

Global Payments Would Also Be Revolutionized by Digital Currency

Three major policy and structural changes are likely to make the transformation to digital payment systems complete all over the world: conversion of paper currency into dematerialized digital currency; popularization of digital payment systems in domestic markets; and integration of global banking and payment networks for seamless international payments and transfers.

Global payment networks use a complex system to transfer money based on compulsions of the pre-digital era. Money transfer requires banks to be in a correspondent relationship with each other, payment messages to be transferred in a secure way and settlement to take place through a central bank or third system. All this takes time, while introducing another